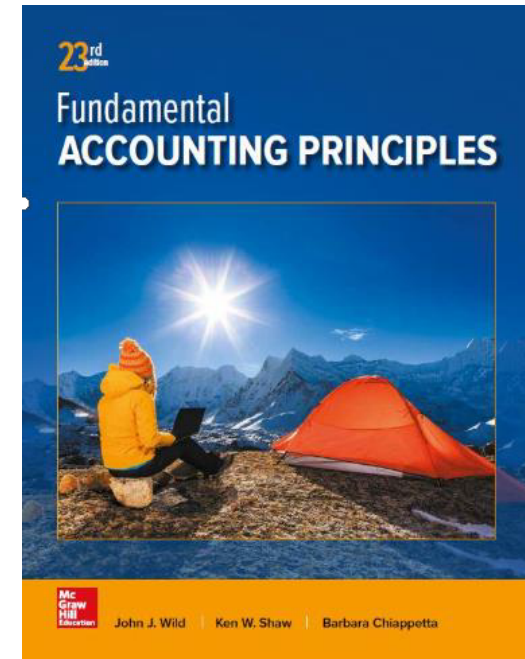


Accounting in Business

Chapter 1



Chapter 1 Learning Objectives

CONCEPTUAL

- C1** Explain the purpose and importance of accounting.
- C2** Identify users and uses of, and opportunities in, accounting.
- C3** Explain why ethics are crucial to accounting.
- C4** Explain generally accepted accounting principles and define and apply several accounting principles.
- C5 Appendix 1B** Identify and describe the three major activities of organizations.

ANALYTICAL

- A1** Define and interpret the accounting equation and each of its components.
- A2** Compute and interpret return on assets.
- A3 Appendix 1A** Explain the relation between return and risk.

PROCEDURAL

- P1** Analyze business transactions using the accounting equation.
- P2** Identify and prepare basic financial statements and explain how they interrelate.

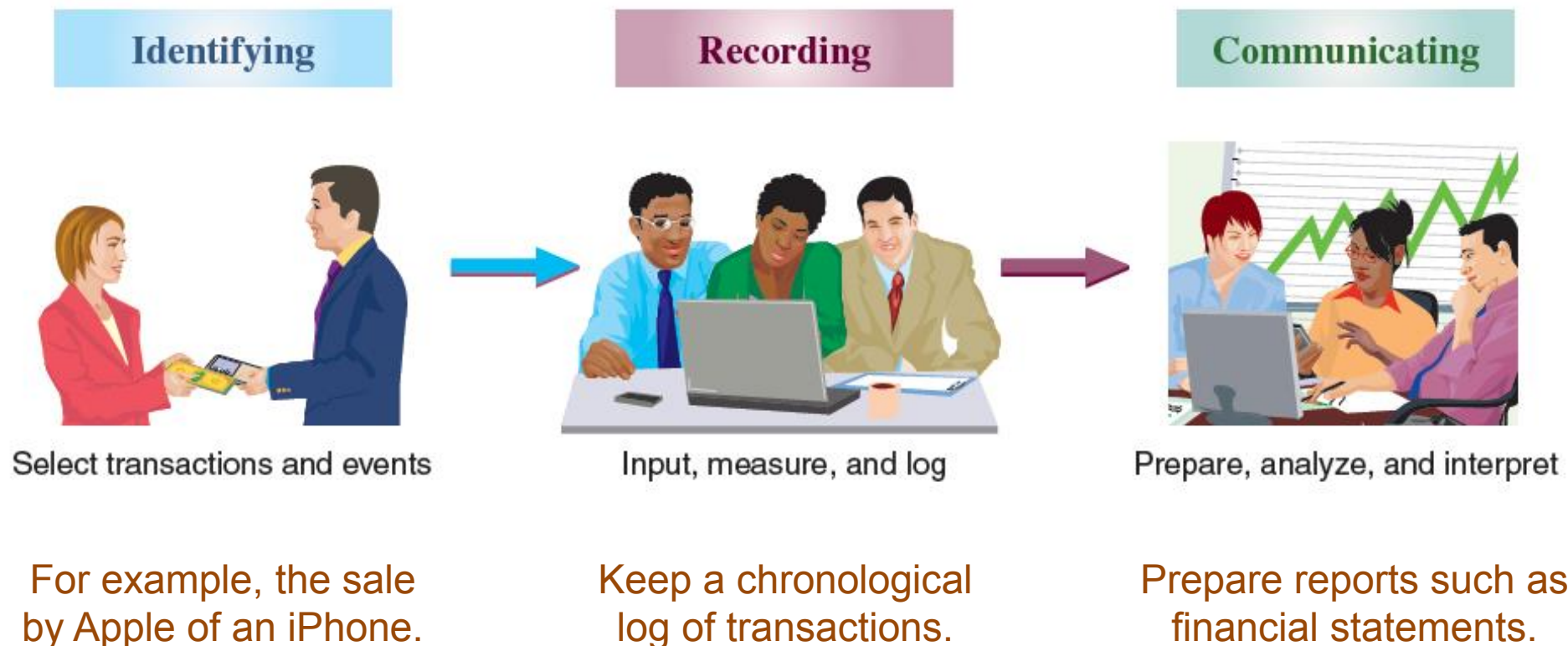
Learning Objective

C1:

Explain the purpose and
importance of accounting.

Importance of Accounting

Exhibit
1.1



Accounting is an information and measurement system that identifies, records, and communicates information about an organization's business activities.

Learning Objective

C2:

Identify users and uses of, and opportunities in, accounting.

Users of Financial Information

Exhibit
1.2

Accounting is called the *language of business* because all organizations set up an accounting information system to communicate data to help people make better decisions. Accounting serves many users who can be divided into two groups: external users and internal users.

External users



- Lenders
- Shareholders
- Governments
- Consumer groups
- External auditors
- Customers

Internal users



- Executives
- Managers
- Internal auditors
- Sales staff
- Budget analysts
- Controllers

Opportunities in Accounting

Exhibit
1.3



Accounting information is in all aspects of our lives. When we earn money, pay taxes, invest savings, budget earnings, and plan for the future, we use accounting.

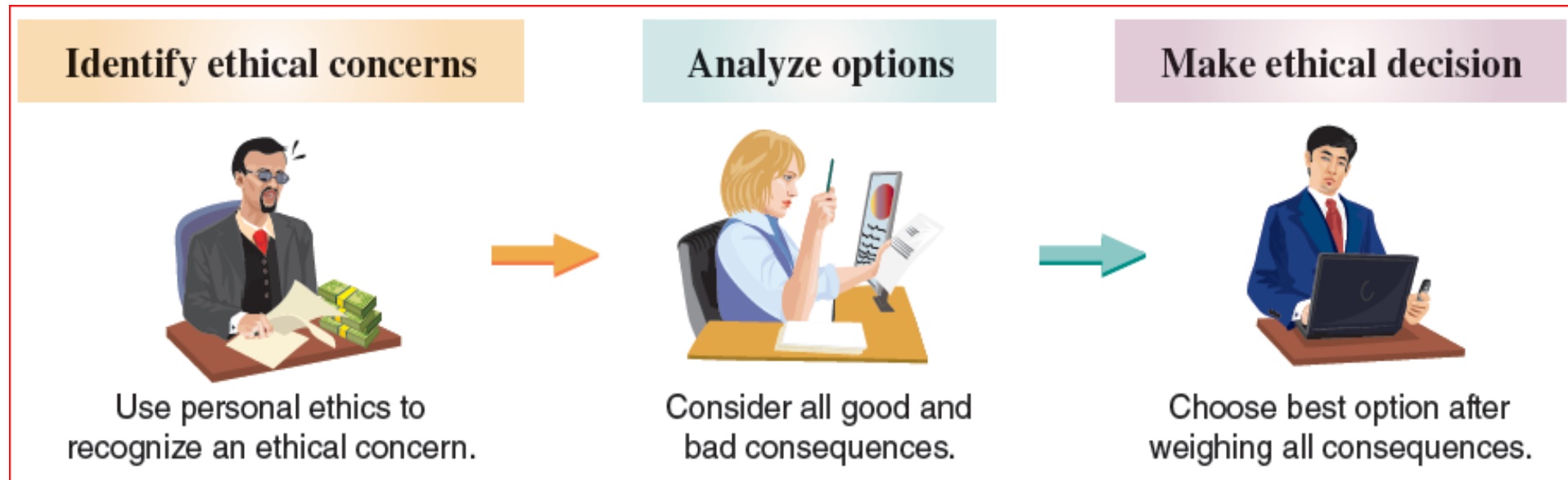
Learning Objective

C3:
Explain why ethics
are crucial to accounting.

Ethics – A Key Concept

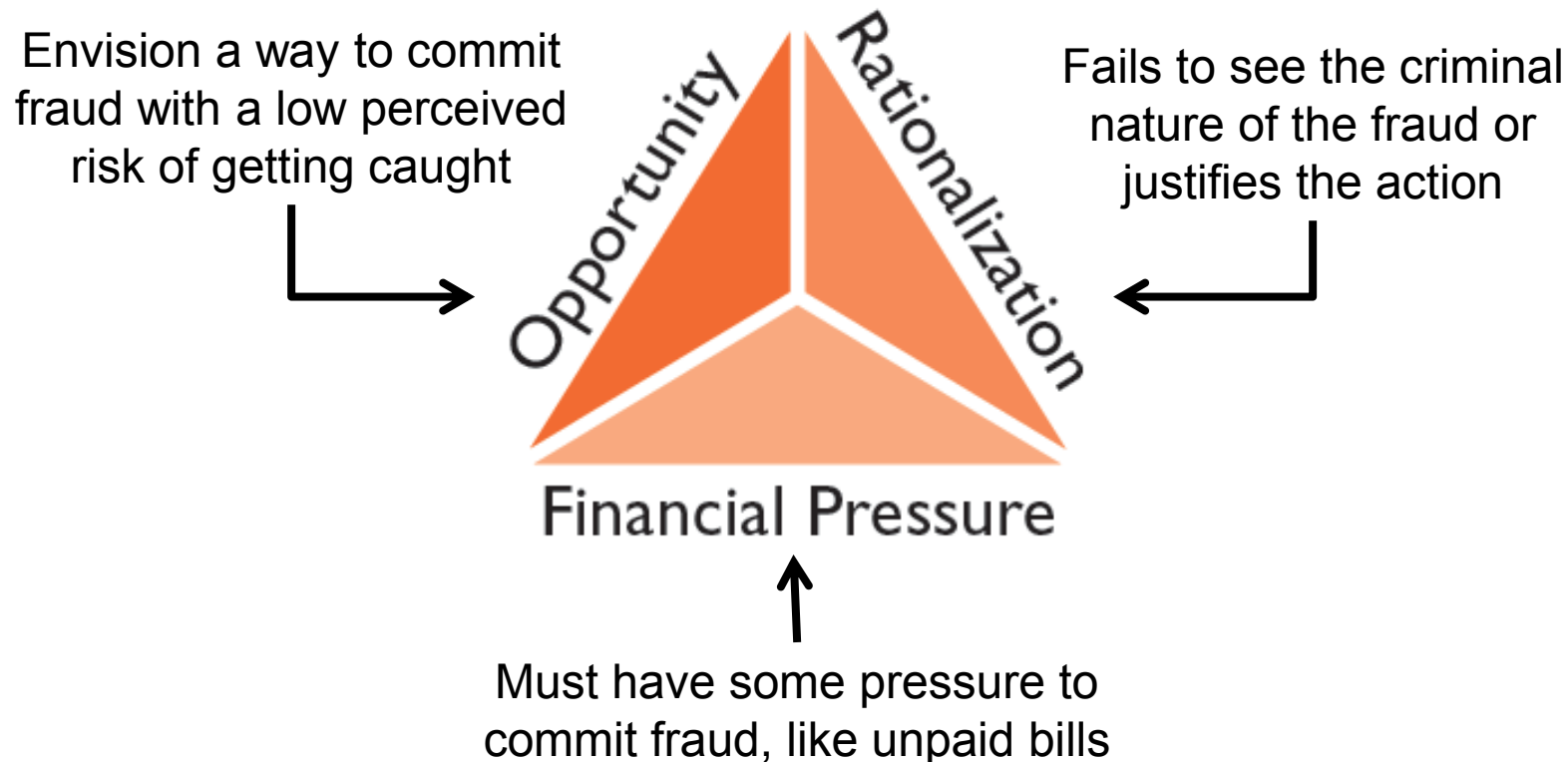
Exhibit
1.6

The goal of accounting is to provide useful information for decisions. For information to be useful, it must be trusted. This demands ethics in accounting. Ethics are beliefs that distinguish right from wrong. They are accepted standards of good and bad behavior.



Fraud Triangle

Three factors must exist for a person to commit fraud: opportunity, pressure, and rationalization.



Sarbanes–Oxley (SOX)

Congress passed the Sarbanes–Oxley Act to help curb financial abuses at companies that issue their stock to the public. SOX requires that these public companies apply both accounting oversight and stringent internal controls. The desired results include more transparency, accountability, and truthfulness in reporting transactions.

Company	Alleged Accounting Abuses
Tesco, Plc	Inflated revenues and income, and deferred expenses
World Com	Understated expenses to inflate income and hid debt
AOL Time Warner	Inflated revenues and income
Fannie Mae	Inflated income
Xerox	Inflated income
Bristol-Myers Squibb	Inflated revenues and income
Tyco	Hid debt and CEO evaded taxes
Global Crossing	Inflated revenues and income
Nortel Networks	Understated expenses to inflate income
Enron	Inflated income, hid debt, and bribed officials



Dodd-Frank Wall Street Reform and Consumer Protection Act

This act was designed to:

1. promote accountability and transparency in the financial system,
2. put an end to the notion of “too big to fail,”
3. protect the taxpayer by ending bailouts, and
4. protect consumers from abusive financial services.

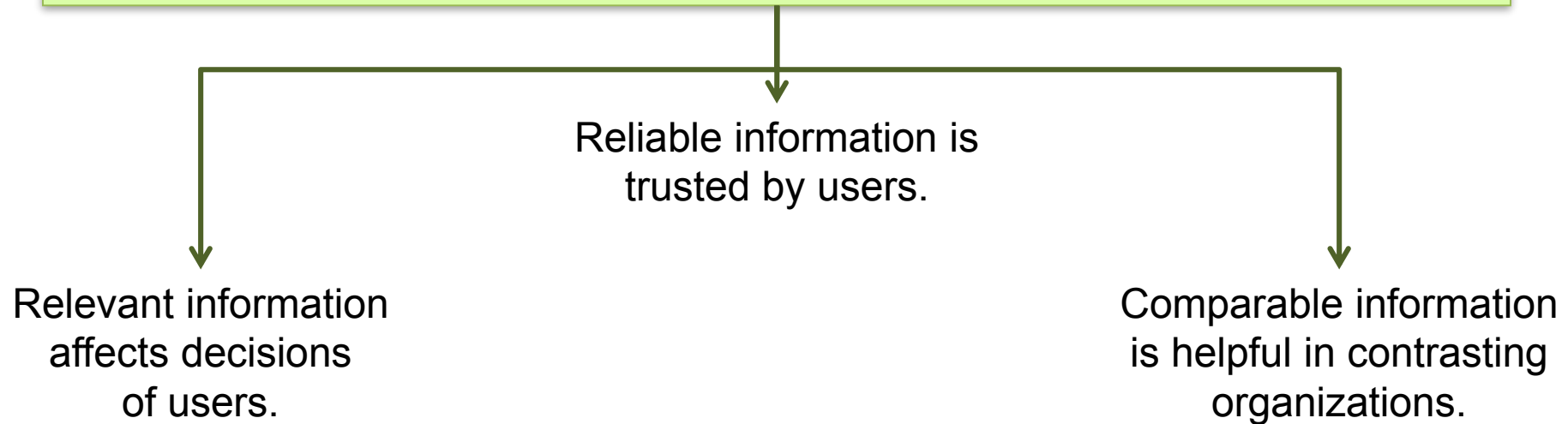
Learning Objective

C4:

Explain generally accepted accounting principles and define and apply several accounting principles.

Generally Accepted Accounting Principles (GAAP)

Financial accounting is governed by concepts and rules known as **generally accepted accounting principles (GAAP)**. GAAP aims to make information *relevant, reliable, and comparable*.



International Standards

In today's global economy, there is increased demand by external users for comparability in accounting reports. This demand often arises when companies wish to raise money from lenders and investors in different countries.

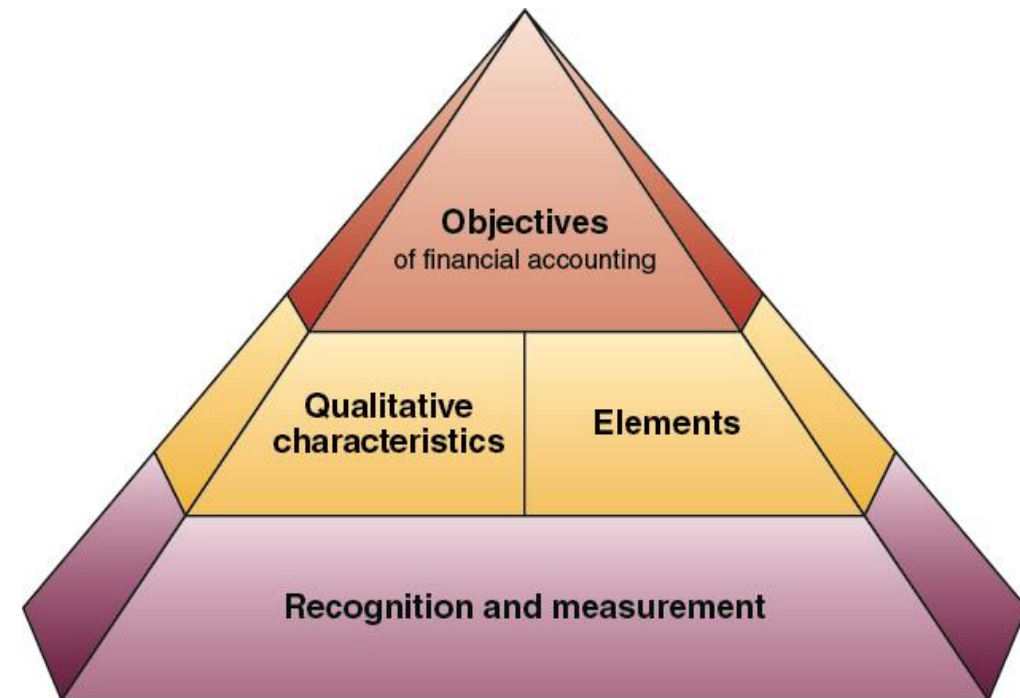
International Accounting Standards Board (IASB)	International Financial Reporting Standards (IFRS)
An independent group (consisting of individuals from many countries), issues International Financial Reporting Standards (IFRS)	Identify preferred accounting practices

Differences between U.S. GAAP and IFRS are decreasing as the FASB and IASB pursue a *convergence* process aimed to achieve a single set of accounting standards for global use.

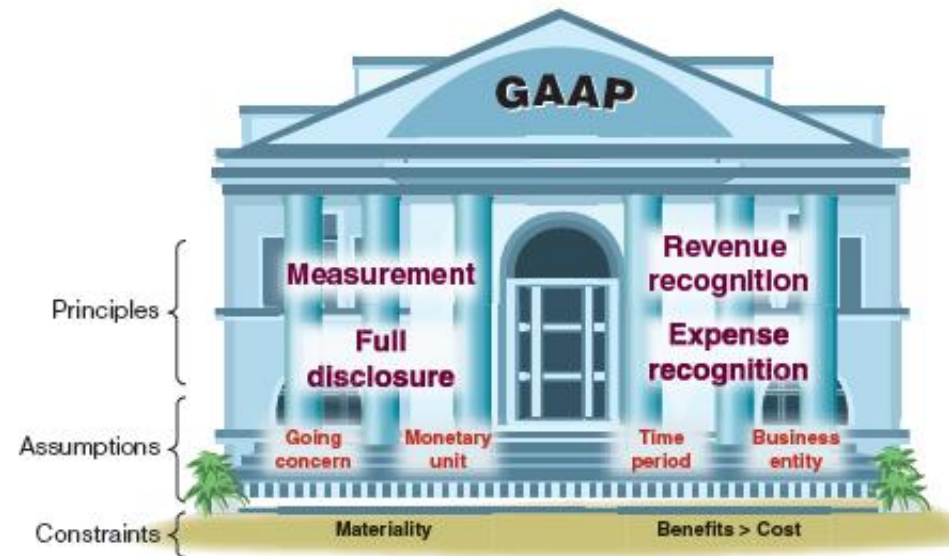
Conceptual Framework

The FASB and IASB are attempting to converge and enhance the **conceptual framework** that guides standard setting. The framework consists broadly of the following:

- **Objectives**—to provide information useful to investors, creditors, and others.
- **Qualitative Characteristics**—to require information that is relevant, reliable, and comparable.
- **Elements**—to define items that financial statements can contain.
- **Recognition and Measurement**—to set criteria that an item must meet for it to be recognized as an element; and how to measure that element.



Principles and Assumptions of Accounting



General principles are the basic assumptions, concepts, and guidelines for preparing financial statements. General principles stem from long-used accounting practices.

Specific principles are detailed rules used in reporting business transactions and events. Specific principles arise more often from the rulings of authoritative groups.

Accounting Principles

Measurement Principle (or Cost Principle)

Accounting information is based on actual cost. Actual cost is considered objective.

Revenue Recognition Principle

1. Recognize revenue when it is earned.
2. Proceeds need not be in cash.
3. Measure revenue by cash received plus cash value of items received.

Expense Recognition Principle (or Matching Principle)

A company must record its expenses incurred to generate the revenue reported.

Full Disclosure Principle

A company is required to report the details behind financial statements that would impact users' decisions.

Accounting Assumptions

Going-Concern Assumption

Reflects assumption that the business will continue operating instead of being closed or sold.

Monetary Unit Assumption

Express transactions and events in monetary, or money, units.

Business Entity Assumption

A business is accounted for separately from other business entities, including its owner.

Time Period Assumption

Presumes that the life of a company can be divided into time periods, such as months and years.

Proprietorship, Partnership, and Corporation

Here are some of the major attributes of proprietorships, partnerships, and corporations:

Attribute Present	Proprietorship	Partnership	Corporation
One owner allowed	yes	no	yes
Business taxed	no	no	yes
Limited liability	no*	no*	yes
Business entity	yes	yes	yes
Legal entity	no	no	yes
Unlimited life	no	no	yes

* Proprietorships and partnerships that are set up as LLCs provide limited liability.

Accounting Constraints

Materiality

Only information that would influence the decisions of a reasonable person need be disclosed.

Cost-benefit

Only information with benefits of disclosure greater than their cost need be disclosed.

Learning Objective

A1:

Define and interpret the accounting equation and each of its components.

Transaction Analysis and the Accounting Equation

The Accounting Equation

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Equity}}$$

Expanded Accounting Equation:

$$\text{Assets} = \text{Liabilities} + \overbrace{\text{Owner, Capital} - \text{Owner, Withdrawals} + \text{Revenues} - \text{Expenses}}^{\text{Equity}}$$

Net Income

Learning Objective

P1:

Analyze business transactions
using the accounting equation.

Transaction 1:



Chas Taylor invests \$30,000 cash to start a company.

The accounts involved are:

- (1) Cash (asset) ↑**
- (2) C. Taylor, Capital (equity) ↑**



Accounting Equation

Chas Taylor invests \$30,000 cash to start the business, *Fast Forward*.

Assets			=	Liabilities		+	Equity
Cash	Supplies	Equipment		Accounts Payable	Notes Payable		C.Taylor, Capital
(1) \$ 30,000							\$ 30,000
\$ 30,000	\$ -	\$ -		\$ -	\$ -		\$ 30,000
\$ 30,000			=	\$ 30,000			

Transaction 2:

**Company purchased supplies paying
\$2,500 cash.**

The accounts involved are:

- (1) Cash (asset)** ↓
- (2) Supplies (asset)** ↑



Accounting Equation

Company purchased supplies paying \$2,500 cash.

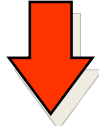
Assets			=	Liabilities		+	Equity
Cash	Supplies	Equipment		Accounts Payable	Notes Payable		C.Taylor, Capital
(1) \$ 30,000							\$ 30,000
(2) (2,500)	\$ 2,500						
\$ 27,500	\$ 2,500	\$ -		\$ -	\$ -		\$ 30,000
\$ 30,000			=	\$ 30,000			

**Accounting Equation
must remain in
balance!!**

Transaction 3:

Purchased equipment for \$26,000 cash.

The accounts involved are:

- (1) Cash (asset)** 
- (2) Equipment (asset)** 

Accounting Equation

Purchased equipment for \$26,000 cash.

Assets			=	Liabilities		+	Equity
Cash	Supplies	Equipment		Accounts Payable	Notes Payable		C.Taylor, Capital
(1) \$ 30,000							\$ 30,000
(2) (2,500)	\$ 2,500						
(3) (26,000)		\$ 26,000					
\$ 1,500	\$ 2,500	\$ 26,000		\$ -	\$ -		\$ 30,000
\$ 30,000			=	\$ 30,000			

Accounting Equation still remains in balance!!

Transaction 4:

Purchased supplies of \$7,100 on credit.

The accounts involved are:

(1) Supplies (asset) ↑

(2) Accounts Payable (liability) ↑



Accounting Equation

Purchased Supplies of \$7,100 on credit.

Assets			=	Liabilities		+	Equity
Cash	Supplies	Equipment		Accounts Payable	Notes Payable		C.Taylor, Capital
(1) \$ 30,000							\$ 30,000
(2) (2,500)	\$ 2,500						
(3) (26,000)		\$ 26,000					
(4)	7,100			\$ 7,100			
<u>\$ 1,500</u>	<u>\$ 9,600</u>	<u>\$ 26,000</u>		<u>\$ 7,100</u>	<u>\$ -</u>		<u>\$ 30,000</u>
\$ 37,100			=	\$ 37,100			

Accounting Equation still remains in balance!!

Transaction Analysis

Now, let's look at transactions involving revenues, expenses and withdrawals.



Transaction 5:

Provided consulting services to a customer and received \$4,200 cash right away.

The accounts involved are:

- (1) Cash (asset) ↑
- (2) Revenues (equity) ↑



Accounting Equation

Provided consulting services to a customer and received \$4,200 cash right away.

Assets			=	Liabilities		+	Equity	
	Cash	Supplies	Equipment	Accounts Payable	Notes Payable		C.Taylor, Capital	Revenue
Bal.	\$ 1,500	\$ 9,600	\$ 26,000	\$ 7,100			\$ 30,000	
(5)	4,200							\$ 4,200
	\$ 5,700	\$ 9,600	\$ 26,000	\$ 7,100	\$ -		\$ 30,000	\$ 4,200
	\$ 41,300			=	\$ 41,300			

Transactions 6 and 7:

Paid rent of \$1,000 and salaries of \$700 to employees.

The accounts involved are:

(1) Cash (asset)



(2) Rent expense (equity)



(3) Salaries expense (equity)



Remember that the balance in the *Expense* accounts actually increase.



But, total Equity decreases, because expenses reduce equity.

Accounting Equation

Paid rent of \$1,000 and salaries of \$700 to employees.

	Assets			=	Liabilities		+	Equity		
	Cash	Supplies	Equipment		Accounts Payable	Notes Payable		C.Taylor, Capital	Revenue	Expenses
Bal.	\$ 5,700	\$ 9,600	\$ 26,000		\$ 7,100			\$ 30,000	\$ 4,200	
(6)	(1,000)									(1,000)
(7)	(700)									\$ (700)
	<u>\$ 4,000</u>	<u>\$ 9,600</u>	<u>\$ 26,000</u>		<u>\$ 7,100</u>	<u>\$ -</u>		<u>\$ 30,000</u>	<u>\$ 4,200</u>	<u>\$ (1,700)</u>
	\$ 39,600			=	\$ 39,600					

Remember that expenses *decrease* equity.

Transaction 8:

Provided consulting services of \$1,600 and rents facilities for \$300 to a customer for credit.

The accounts involved are:

(1) Accounts receivable (asset) ↑

(2) Consulting Revenues (equity) ↑

(3) Rental Revenue (equity) ↑

Accounting Equation

Provided consulting services of \$1,600 and rents facilities for \$300 to a customer for credit.

Assets				=	Liabilities	+	Equity		
	Cash	Accounts Receivable	Supplies	Equipment		Payable	C.Taylor, Capital	Revenue	Expenses
Bal.	\$ 4,000		\$ 9,600	\$ 26,000	\$ 7,100	\$ 30,000	\$ 4,200		(1,700)
(8)		1,900						1,600	
								300	
	\$ 4,000	\$ 1,900	\$ 9,600	\$ 26,000	\$ 7,100	\$ 30,000	\$ 6,100	\$	(1,700)
	\$ 41,500				=	\$ 41,500			

Transaction 9:

Client in transaction 8 pays \$1,900 for consulting services from account receivable.

The accounts involved are:

(1) Cash (asset) ↑

(2) Accounts receivable (asset) ↓



Accounting Equation

Client in transaction 8 pays \$1,900 for consulting services.

Assets					=	Liabilities	+	Equity		
	Cash	Accounts Receivable	Supplies	Equipment		Accounts Payable		C. Taylor, Capital	Revenue	Expenses
Bal.	\$ 4,000	1,900	\$ 9,600	\$ 26,000		\$ 7,100		\$ 30,000	\$ 4,200	(1,700)
(9)	1,900	(1,900)							\$ 1,600	
									300	
	\$ 5,900	0	\$ 9,600	\$ 26,000		\$ 7,100		\$ 30,000	\$ 6,100	\$ (1,700)
	\$ 41,500				=	\$ 41,500				

Transaction 10:

FastForward pays \$900 as partial payment for supplies purchased in transaction 4.

The accounts involved are:

(1) Cash (asset) 

(2) Accounts payable (liability) 

Accounting Equation

FastForward pays \$900 as partial payment for supplies purchased in transaction 4.

Assets					=	Liabilities	+	Equity		
	Accounts					Accounts		C.Taylor,		
	Cash	Receivable	Supplies	Equipment		Payable		Capital	Revenue	Expenses
Bal.	\$ 5,900	0	\$ 9,600	\$ 26,000		\$ 7,100		\$ 30,000	\$ 4,200	(1,700)
(10)	(900)					(900)			\$ 1,600	
									300	
	\$ 5,000	0	\$ 9,600	\$ 26,000		\$ 6,200		\$ 30,000	\$ 6,100	\$ (1,700)
			\$ 40,600		=			\$ 40,600		

Transaction 11:

Withdrawal of Cash by Owner.

The accounts involved are:

- (1) Cash (asset) ↓
- (2) Withdrawals ↑ (equity)

Remember that the *Withdrawal* account actually increases (just like our Expenses account . . .)



But, total Equity decreases because withdrawals cause equity to go down !!

Accounting Equation:

\$200 cash is withdrawn by owner.

Assets				=	Liabilities + Equity				
	Cash	Accounts Receivable	Supplies	Equipment	Accounts Payable	C.Taylor, Capital	C.Taylor, Withdrawals	Revenue	Expenses
Bal.	\$ 5,000	0	\$ 9,600	\$ 26,000	\$ 6,200	\$ 30,000		\$ 4,200	(1,700)
(11)	(200)						(200)	\$ 1,600	
								300	
	\$ 4,800	0	\$ 9,600	\$ 26,000	\$ 6,200	\$ 30,000	\$ (200)	\$ 6,100	\$ (1,700)
	\$ 40,400				=	\$ 40,400			

Learning Objective

P2:

Identify and prepare basic financial statements and explain how they interrelate.

Financial Statements

The four financial statements and their purposes are:

- 1. Income statement** — describes a company's revenues and expenses along with the resulting net income or loss over a period of time due to earnings activities.
- 2. Statement of owner's equity**— explains changes in equity from net income (or loss) and from any owner investments and withdrawals over a period of time.
- 3. Balance sheet** — describes a company's financial position (types and amounts of assets, liabilities, and equity) at a point in time.
- 4. Statement of cash flows** — identifies cash inflows (receipts) and cash outflows (payments) over a period of time.

Exhibit 1.10 Financial Statements and Their Links

FASTFORWARD Income Statement For Month Ended December 31, 2017			
Revenues			
Consulting revenue (\$4,200 + \$1,600)	\$ 5,800		
Rental revenue	<u>300</u>		
Total revenues		\$ 6,100	
Expenses			
Rent expense	1,000		
Salaries expense	<u>700</u>		
Total expenses		<u>1,700</u>	
Net income		<u>\$ 4,400</u>	

FASTFORWARD Statement of Owner's Equity For Month Ended December 31, 2017			
C. Taylor, Capital, December 1, 2017		\$ 0	①
Plus: Investments by owner	\$30,000		
Net income	<u>4,400</u>	<u>34,400</u>	
		34,400	
Less: Withdrawals by owner		<u>200</u>	
C. Taylor, Capital, December 31, 2017		<u>\$34,200</u>	

FASTFORWARD Balance Sheet December 31, 2017			
Assets		Liabilities	
Cash	\$ 4,800	Accounts payable	\$ 6,200
Supplies	9,600	Total liabilities	<u>6,200</u>
Equipment	26,000		
		Equity	
		C. Taylor, Capital	<u>34,200</u>
Total assets	<u>\$40,400</u>	Total liabilities and equity	<u>\$ 40,400</u>

(cont. next slide)

Exhibit 1.10 Financial Statements and Their Links

FASTFORWARD Balance Sheet December 31, 2017			
Assets		Liabilities	
Cash	\$ 4,800	Accounts payable	\$ 6,200
Supplies	9,600	Total liabilities	6,200
Equipment	26,000		
		Equity	
		C. Taylor, Capital	34,200
Total assets	<u>\$40,400</u>	Total liabilities and equity	<u>\$ 40,400</u>

FASTFORWARD Statement of Cash Flows For Month Ended December 31, 2017			
Cash flows from operating activities			
Cash received from clients (\$4,200 + \$1,900)	\$ 6,100		
Cash paid for expenses (\$2,500 + \$900 + \$1,000 + \$700)	<u>(5,100)</u>		
Net cash provided by operating activities		\$ 1,000	
Cash flows from investing activities			
Purchase of equipment	<u>(26,000)</u>		
Net cash used by investing activities		(26,000)	
Cash flows from financing activities			
Investments by owner	30,000		
Withdrawals by owner	<u>(200)</u>		
Net cash provided by financing activities		29,800	
Net increase in cash		\$ 4,800	
Cash balance, December 1, 2017		0	
Cash balance, December 31, 2017		<u>\$ 4,800</u>	

Sustainability and Accounting

Sustainability Accounting Standards Board (SASB)

- Nonprofit entity engaged in creating and disseminating sustainability accounting standards for companies.
- **Sustainability** refers to environmental, social and governance.
- Environmental aspects include programs to reduce pollution and support green activities.
- Standards intended to complement financial accounting standards.
- SASB created their own Conceptual Framework.

End of Chapter 1